

Contents

CHAPTER ONE	1
OBLIGATIONS IN GENERAL	1
1. Definition of Obligations	1
2. Sources of obligations	1
1.5 Types of Obligations.....	2
1.6 The meaning of contract/contract law	3
1.7 The purpose and scope of contract law	3
1.7.2 Scope of Contract Law	3
CHAPTER TWO	3
FORMATION OF CONTRACTS	3
Elements of Contract.....	4
Where does Offer begin to be binding?	5
How long does the Offer Bind?	5
Acceptance How Made	6
Effect of Acceptance.....	9
The offeree may abort the contract by withdrawing his acceptance (Art.1693 (2))......	9
Negotiation vs. Consent (Art.1695)	9
2.2.3 Defect in Consent (Art 1696 – 1710).....	10
Defect in Consent due to Threat (Art.1706-1709)	12
Duress (Art.1706 1707).....	12
2.3 Objects of Contracts (Art 1711-1718)	13
2.3.1 Object Defined	13
2.3.2 Freedom of Contract	14
2.4. Form of Contracts (Art 1719 – 1730)	16
2.4.1. Contracts made in Written Form (Art 1721 – 1726).....	16
2.4.2. Effects of form (Art. 1720)	18
2.4.6 Other Special Forms.....	18
2.4 Effects of Elements of Contract (Art, 1808-1818).....	18
2.5.1 Difference between void and voidable contracts (Art, 1808-1814)	18

2.5.2	Similarities between Void and Void able Contracts (Art 1815-1818)	20
Chapter 3: Effect of Contract (Art. 1731 -1805).....		22
3.1	What Does Effects of Contract Mean? (Art.1731).....	22
3.2	Interpretation of Contract (Art 1732 -1739).....	22
3.2.1	Searching Intention of Parties	22
3.2.2	Interpretation in Favor of Debtor	23
3.3	Performances of Contracts (Art. 1740-1762).....	23
3.3.1	Who Performs Contract (Art. 1740)	24
3.3.2	Who May Receive Payment (Art. 1741-1744?).....	24
3.3.3	What to Perform (Art. 1745 – 1751).....	25
3.3.4	Appropriation of payment (Art. 1752-1754).....	27
3.3.5	Place of Performance	28
3.3.6	Time of Performance	28
3.3.7	Transfer of Risk	30
3.3.8	Cost of Payment (Art.1760).....	30
3.3.9	Debtor' Right to Receipt (Art.1761-1762).....	30
3.4	Variations of Contracts	30
3.4.1	Judicial Variation of Contract	31
CHAPTER 4: Non-Performance of Contract & Its Remedies.....		33
4.3	General remedies of non-performance under Ethiopian law	33
4.3.1	Enforcement of Contract.....	35
4.3.2	Cancellation	36
4.3.4	Damages (Compensation).....	37

CHAPTER ONE

OBLIGATIONS IN GENERAL

1. Definition of Obligations

John Salmond (year) defined obligation in its more general acceptance as „something the law or morals command a person to do a command that is made effective by the imposition of sanction if a person failed to comply such a command“

In the modern legal systems and currently existing legal materials, there is no exact or single whole definition of obligation. However, some scholars define it based on their own legal system For instance French judges define the term obligation as a legally binding relations to another party is obliged to give or to do or not to do something.

2. Sources of obligations

According to Gay, Roman jurist, the fundamental source of obligation can be classified into two: a) Contract b) Beyond the contract Those obligations, which arises beyond the contract, are divided into unjust enrichment (quasi-contract), unlawful acts (delict) and causing physical injure to the person or causing damage to property of person (quasi-delict).

French civil code classifies the source of obligation as;

- Obligation that arises from contract
- Obligations that arises beyond the contract
- Obligation that arises from the unlawful acts
- Obligations that arises from the causing of physical injure or causing material damage
- Obligations arising from law

In Ethiopian legal system, there are no clearly stated classifications of sources of obligations. But Art.1675 of Ethiopian civil code generally expresses obligations as arising from contractual agreements. However, the close readings of the provisions of the civil code show that there are other sources of obligations-like those arising from non-contractual relationships (from Art.2027-2178), obligations arising from unlawful acts or obligation that arises from the causing of physical injure or obligation

arising from the causing of material damage (from Art.2027-2161) and finally, obligations arising from unjust enrichment (from Art.2162-2178).

Obligation arising from the law is a unilateral obligation imposed on citizens or contracting parties without their consent.

1.5 Types of Obligations

❖ **Obligations can be classified based on the nature of activities, and the number of parties legally bound by the obligation.**

1. **Divisible obligation;** this is one whereby a party undertakes to perform its obligations by dividing into parties.
2. **Indivisible obligations;** the performance of the obligation undertaken cannot be divided into parts. Hence, in this type of obligation partial performance is impossible given the conditions and circumstances of its formation, which does not allow the performance of obligation by dividing into parts.
3. **Positive obligation;** obligation to do
4. **Negative obligation;** obligation not to do

Based on the number of parties legally bound, obligations can be classified into *unilateral, bilateral, and multilateral obligations.*

- A. Unilateral obligation arises from contract in which two parties are participate. However, only one of the parties is legally bound by the contract for the benefit of the other contracting party. **Example, donations**
- B. Bilateral obligation arises from a contract entered into by two parties in which these contracting parties are bound legally to each other on equal terms. Accordingly, there are two promisors and two promises.
- C. Multilateral obligation. This is a case where more than two persons undertake to perform an obligation. Such obligations can be classified into three:
 1. Simple joint obligation;

Parties who are bound by such obligation are not jointly liable for the total debts, but each debtor is liable for its own share with the exception of Art.1917 of the Ethiopian civil code

2. Joint obligations

It arises from the contractual obligation in which more than two parties participate and debtors are jointly liable for the debt secured as a result of the obligation entered into with the creditor or creditors.

3) Several and joint obligations

In this kind of obligations the co-debtors shall be jointly and severally liable unlike joint obligation where the debtors are jointly obliged to undertake a given obligation, in the several and joint obligation, the creditor may require all the debtors or one of them to discharge the obligation in whole or in part.

1.6 The meaning of contract/contract law

Art 1675; “An agreement whereby two or more persons as between themselves create, vary or extinguish obligation of proprietary nature” Plus Article 1678 on elements of contract tell as in general the type of agreements enforceable by the law of contract in Ethiopian legal system.

1.7 The purpose and scope of contract law

Contract law has many purposes but the central one is to support and control the millions of agreements that collectively make up the market economy. Contract law in this respect is the most important which creates smooth functioning of business transaction by creating certainty, predictability, and enforceability.

1.7.2 Scope of Contract Law

Contract law governs contractual obligations which arise from agreements made between two or more persons which put the promisor under the obligation to perform his or her promises under the sanction of an action against him for breach of the contract.

A contractual obligation implies the existence of an „obligor“-the person who is legally under the obligation and the “obligee” for whose benefit the obligation exists. This feature of contract distinguishes contract law from criminal law obligations.

CHAPTER TWO

FORMATION OF CONTRACTS

Non-Binding Agreements Mere domestic or social agreements are not usually intended to be binding and, therefore, are not contracts.

A binding contract is usually in the nature of a commercial bargain, involving some exchange of goods or service for a price.

Generally, the mere existence of agreement to be bound by defined obligation does not necessary make Contract. It is necessary to identify whether the parties intended only moral obligation or legal obligation, if parties agree to be bound morally only, the agreement is not a contract since it cannot be enforced by state backing. For a contract to exist parties must agree that any violation of the obligation would be punished by using state machinery. Therefore; the phrase "...agrees to be bound thereby..." in Art. 1679 implies the parties' intention to take any controversies in relation to obligation to court thereby allowing the court to interfere in their relation.

Meeting of Mind (Art.1680)

Contract occurs when the minds of the offeror and offeree meet upon common object of the contract. This meeting of mind is called **consent to the matter**. The declaration of both parties must relate to the same matter. Meeting of mind is inferred only from offer and acceptance made by the parties. The law is concerned only with the objective appearance of the offer and acceptance than the actual fact of the intention of offeree or offeror. Therefore, Parties are to be judged not by what is in their mind but by what they have said, written or done.

Elements of Contract

- A. Capacity
- B. Consent
- C. Object
- D. Form, if any

Communication of Consent (Art. 1681); Consent is expressed either in the form of offer or acceptance. Offer and acceptance are ways of communicating one's own intention to be bound by an obligation. Oral, written, signal and conduct.

Communication of offer by conduct is when the offeror performs partly or wholly the obligation that he will perform if the contract is entered into. **Earnest** is the best example of offer by conduct (Art.1883). In this case the offeree uses the combination of his sight or/and ear and mental intellect to know and understand intention of the offeror. Offer by conduct is an implied offer because the offeree is forced to infer the offer from the conduct of the offeror. Offeree may infer different obligation from what is intended by the offeror. So care must be made by the offeror that his conduct is clearly understandable to the offeree.

Where does Offer begin to be binding?

There might be time gap between the offeror's release of the offer and the offeree's reception of the same. This is true especially when written form or conduct is used to communicate an offer. For example, an offeror may use letter or fax to reach the offeree. So the offer begins to be binding at earliest from the moment the offeree knew its content. Any declaration of intention to be bound by a contract may not even be considered as an offer for the sole fact that it has not yet reached the offeree (Art 1687). So the offeror can freely change the content of his offer or totally withdraw it before it reaches the offeree (Art 1693(1)). The offeror can make his offer not to reach the offeree by informing the offeree that change has been made to the content of the offer or that it has been withdrawn. This has to reach the offeree before he receives the offer or at latest before the offeree takes decision that affects his material interest on the assumption of the offer (Art 1693). This means an offer may be withdrawn or modified as far as the offeree has not incurred expenses with a view to concluding a contract with the offeror. So what is crucial is not the time when the offeree received the offer but the decision he has taken due to his knowledge of the offer.

Changing or withdrawing an offer is a fault (Art.2055).

Change or withdrawal of an offer is not a fault when it is withdrawn or changed.

- a. Before the offeree knows the offer or
- b. At the time the offeree know the offer or
- c. At any time before acceptance for justified reason

Even if modification or withdrawal is made contrary to the above precondition, the offeror may be liable only if the offeree proves that the offer is the cause for his loss.

How long does the Offer Bind?

The offeror should be given an opportunity to be released from his offer or else how long will he wait for acceptance. The offeror may himself determine how long the offer remains binding. For example an offeror may indicate in his offer that acceptance be made within ten days from the moment the offeree knows the offer. After expiry of such ten days the offeror can change, modify or withdraw his offer for whatsoever reason and without any liability to the offeree (Art 1690).

In case the offeror fails to fix time limit for acceptance, the offer remains binding for reasonable period only (Art 1691). Reasonable period indicates the time that the offeree needs to understand the offer and decide to accept or reject it. But the crucial issue is **"how long is a reasonable period"** The length of reasonable period should be the average time that the **average person** may need to determine on the offer.

The circumstance of the offeree should not be taken in to account to determine the length since contract is not a charity and the offeror is running for gain and has no legal or moral obligation to sacrifice for subjective weaknesses of the offeree.

Whenever the court is not convinced that the period is reasonable, it should conclude that the period is unreasonable since any doubt should benefit the defendant (Art. 1738,); whosoever, claims the right has a burden to prove the existence of such right.

We have to bear in mind that if the acceptance reaches the offeror after expiry of reasonable period the offeror has a duty to inform the offeree the lateness of the acceptance by using the speediest medium of communication available. Such medium should at least be as speedy as the medium used by offeree to send his acceptance. Using the speediest medium is not enough, the response should be made at the moment the offeror receives the acceptance. So if the offeror fails to reject the acceptance immediately the offeree has the right to claim that the acceptance was given within reasonable period and hence contract was concluded (Art 1691(2)).

The third ground that terminates the effect of an offer is the offeree's rejection of the offer (Art 1690(2)). Rejection of an offer is, either making modification to the content of the offer or sending a "no" answer to the offeror. Offer is deemed to be rejected "where acceptance is made with reservation or does not exactly conform to the term of acceptance" (Art 1694).

Any slightest modification made to the content of the offer is considered as rejecting the offer and making, an alternative offer (Art.1694). "Where acceptance is made with reservation or does not exactly conform to the terms of the offer" the offeree must remind himself that he is taking the position of the offeror and the offeror then becomes an offeree (Art. 1694). That means the offeree (the current offeror) is bound by the new offer he makes until the time limit he fixes for acceptance expires (Art. 1690(1)) or until he reasonably expects the other party to decide on the new offer (Art.1691(1)).

Acceptance How Made

Communication of acceptance can be oral, writing, signal or by conduct.

Signal communication is showing certain publicly known physical gesture such as shaking the hand of the offeror, nodding head or using certain objects publicly used to indicate intention (Art.1688(2)). Signal communication usually requires the physical presence of both the offeror and the offeree at the same time and at the same place.

Communication of acceptance by conduct means performing partly or fully the obligation proposed by the offer or benefiting from the rights proposed by the offeror. If the offer is public promise of reward the offeree is not known to the offeror; hence whoever perform the promise is considered as if he accept by conduct regardless of his knowledge of the existence of the offer (Art. 1689(1))

The offeree does not have a duty to give response to the proposal of the offeror. He can respond negatively or positively only if he wants to respond otherwise he may for example read an offer and simply throw it in a dust basket or tear it off. Moreover; if the offeree remains silent there is no assurance that the offer was brought to his attention; he might have not known the existence of offer. Therefore silence shall not amount to acceptance (Art. 1682). It should not be taken as a signal indication of acceptance.

However, in the following cases the offeree has a duty to respond a “no” answer if he does not want to be bound by an offer, otherwise his silence may be taken as a sign of acceptance by the offeror;

A. Duty to accept: -

Sometimes a law or contract may impose on the offeree the obligation to accept offers made to it.

- **This is mainly when the offeree is a monopoly supplier of goods or provider of services.** Some public enterprises are established by law to provide goods and services to the public, hence they are duty bound to accept an offer from the public. For example, Ethiopian Electric Power Corporation, Ethiopian Telecommunication, Water & Sewerage Authorities are expected to accept offer for electric use, telephone line and pipe line. If they do not want to be bound by the offer they have to notify with in time specified in the offer, if any (Art. 1690(1)) or within a reasonable time (Art 1691(1)). Otherwise their silence is considered as an acceptance (Art.1683).

Contract of concession; is the contract between the business Enterprise and state organ

- **Private Business Enterprises may also have a contractual relation with state agency to supply certain goods or provide services to the public** (see Art.3207-3243 which provides about contract of concession). In such case the concession (the contract between the business Enterprise and state organ) may lay down the content of the contract that will exist between the Business enterprise and the service seeker.

The offer of the service seeker is limited only to declare his intention to be bound by the contract whose object was already defined, by the government. In short the offer of the service seeker contains only his

intention to be bound and his request to the offeree to agree to be bound. So if such offer is made the silence of the offeree will be taken as an acceptance.

Illustration; E.g. Addis Ababa City Administration and Cleaner Private Limited Company agree as follows; Art. 1 Addis Ababa City Administration shall pay Birr 2,500,000 to the Company at the beginning of each fiscal year.

Art.2 The Company shall give toilet service at a distance of 1km in every Asphalted road.

Art 3. The Company shall provide toilet papers to the service seekers.

Art.4 The Company may charge only ten cents for one time use of the toilet service. See art 1957

N.B The literal meaning of Art.1683 is that once offer is made, acceptance is automatic. Sub Article 1 declares that when a party is bound by law or concession to accept “no acceptance shall be required”.

B. Preexisting Contractual Relation Silence may also amount to acceptance where;

- i) The content of the offer is to vary, supplement or complement preexisting contractual relation (Art. 1684 (1).
- ii) The offer is made in writing. In principle offer can be made orally, in writing, by sign or conduct depending on the preference of the offeror. But silence can be interpreted as acceptance only if the offeror uses written form of communication that is addressed directly to the offeree (Art 1684(2).
- iii) The offer should be written on special document (Art 1684 (2). The document that contains the offer should contain nothing else than the offer. So offer written on the back of an invoice should not be deemed to have been accepted by silence (Art.1685). Moreover, offer should be written on a paper. E-mail is not a document.
- iv) The offer contains warning that silence amounts to acceptance after expiry of time limit indicated in the offer Art. (1690(1) or reasonable period (Art.1691 (1) (Art 1684 (2).

N.B The offeree’s freedom of choice of means of communication may be limited either by the offeror (Art.1681 (2) or by the law (Art.1689 (1). The offeror may choose any of the four ways of communication and inform the offeree to use only such chosen means. If the offeree uses another means than chosen by the offeror the acceptance is defective since it does not exactly conform to the offer (Art.1694 (1). Public promise of reward is accepted by conduct only.

Effect of Acceptance

At what moment at which acceptance begins to be binding? “Does acceptance begin to be binding at the time the offeree says “yes!” to the offer or at the time such “Yes” answer is received by the offeror.” Such question becomes relevant when acceptance is communicated in writing or by conduct since in such case the time the offeree writes the acceptance or begins to perform the obligation stipulated in the offer may differ from the time the offer knows such fact.

According to art 1692(1) acceptance becomes effective from the moment the offeree sends it to the offeror. Here it is not from the moment an offeree writes a letter of acceptance but from the moment he put it in a post office or if it is email, from the moment he clicks the “send” button of his email box. Therefore; the consent element of contract is fulfilled at the moment the offeree accepts the offer regardless of the knowledge of the offeror. This means an offer can be accepted even after the death of the offeror unless the heirs withdraw such offer in accordance with Art. 1693(1)

In short acceptance begins to produce effect from the moment the offeree sends it to the offeror provided it reaches the offeror within time specified under Art. 1690(1) or 1691(2).

The offeree may abort the contract by withdrawing his acceptance (Art.1693 (2)).

He can freely withdraw his acceptance before the offeror knows such acceptance through the medium the offeree uses to communicate the acceptance to him i.e. if the offeror knows the acceptance earlier than the offeree expects from a friend or other sources; the offeree can still withdraw his acceptance regardless of the knowledge of the offeror. Unless it is proved that the friend of the offeror who told him the acceptance of offer by offeree is sent by the offeree himself to inform such an acceptance.

Negotiation vs. Consent (Art.1695)

Negotiation is when one party proposes to the other some of the contents of would be contract leaving the remaining to be completed or proposed by the latter. The latter may also propose some and still leave others undetermined and sends them back. Here both parties may use all possible moral and legal techniques to persuade the other party to accept the proposal or to come up with more favorable offer. In negotiation, it is very difficult to know the party who made an offer. However; we may take as an offeror the party who proposes the content of the contract last.

Any proposal made during negotiation is not binding on the party making the proposal i.e. a party may withdraw from the negotiation at any time (Art 1695 (1)).

Parties need not reach agreement on all contents of the contract. They may expressly agree to be bound by contents of the negotiation there by leaving detail to be completed by the law (Art 1695 (2)). For example,

parties may negotiate sale of 500 quintals of coffee and agree to deliver on Oct. 25 but fail to reach agreement on price but the coffee is delivered. The delivery will be taken as implied consent and the price will be determined by law (see Art. 2306).

2.2.3 Defect in Consent (Art 1696 – 1710)

If the consent expressed in the form of offer and acceptance does not indicate what the offeree or the offeror really intended then there exists defect in consent.

Defect in consent may be a cause for invalidation of contract (Art 1696). However, the existence of defect in consent does not necessarily lead to the invalidation of contract. Firstly defect in consent can invalidate a contract only if a party who agreed to be bound because of information or threat demands invalidation (Art 1808). Secondly in some cases the party whose consent was defective may not be entitled to claim invalidation (1708, 1709, and 1710).

Defect of Consent due to Wrong Information

Mistake (Art 1696- 1703) is when a party makes misunderstanding on the content of the contract or on the identity of the other contracting party. One can invalidate or avoid his obligation on the basis of mistake if the following two conditions are cumulatively fulfilled (Art 1997, 1998).

A/ mistake must be fundamental (Art 1998)

A mistake is fundamental when a person misunderstands the object of the contract or the person with whom he has entered into the contract.

It is nothing but the content/ objects of the contract that both parties to the contract consider as important or relevant to their relation. In a contract the primary concern of the parties is mainly to keep their obligation to the possible minimum and keep their benefit to the possible maximum. So their primary attention is an object (rights & duties of parties to the contract). See art 1699

Mistake relating to the identity of a contracting party is also fundamental mistake. In short a mistake is fundamental when it related to the object or nature of a contract or identity of the contracting parties. Nature of contract refers to **types of contract (Sale, service, lease, usufruct, agency and employment contract)**.

The law also attempts to indicate what “fundamental mistake” means by telling us non fundamental mistake (Art. 1701). Mistake of the motive of a party or arithmetic mistake are non-fundamental. Motive not expressed to the other party is not binding (Art 1680 (2). So any motive not observable from offer and acceptance is not an element of a contract (Art 1698 cum. 1701)1).

Arithmetical mistake is taken as non- fundamental mistake because it can be easily corrected (Art 1701(2)). This happens when both parties accept the arithmetic mistake. But if the arithmetic mistake is claimed by one party only, it may be fundamental mistake. For example, Abebe signed a check believing that it orders a payment of 50,000 birr although the check indicated birr 500,000 which the payee read and accepted. In this case, the payee accepted the check believing that it carried an order of 500,000 birr but Abebe believed it to be 50,000 birr.

B/ The Mistake Must Be Decisive:

The mistake is decisive when the **mistaken party proves** that a rational person in his position would not have entered into such contract had it not been for the mistake (Art 1697). The purpose is searching the intention of the mistaken party; however, knowing intention of such mistaken party is possible only by putting oneself in his position i.e. “what would I do as a rational person, had I been in his condition”.

Good Faith of Mistaken Party (Art.1702); the party mistaken must be ready to be bound by the contract if the other party agrees to be bound as per the intention of the mistaken party. He should not use his mistake as a pretext to be out of the contract.

Reparation; a mistaken party is accountable for any damage that may be caused to the other party (Art 1703). So invalidation of contract on ground of mistake entails payment of damages.

Fraud (Art 1704) is an intentional act of preparing false information or changing or modifying the content of the subject matter of the contract in a manner that cannot be noticeable by ordinary observation. It's not about telling untruth.

A defrauded party can demand invalidation of contract where:

A/ the fraud led him to commit decisive error (Art 1704(1)). Fraud is a way of making a person to have misunderstanding either about the content of the contract or identity of the other contracting or motive of entering into the contract. Here the error or mistake need not be fundamental. It is enough if it is decisive.

The defrauded party should also prove that the party himself commits the fraud or knew or should have known the existence of the fraud or he derived undue benefit. E.g. Ethiopian National Bank was once defrauded by gold suppliers. The suppliers painted a “balestra” a golden paint and supplied it as though it was gold. If the bank resells the balestra” without discovering the fraud, the buyer may claim that the bank should have properly examined the thing. Generally whosoever sells goods under its control (possession) need to know what he / she is possessing. Failure to know is negligence.

False statement (Art 1705);

Misleading conducts or silence may also amount to false statement¹. In principle telling a false statement cannot lead to invalidation of contract. A party can lie as much as possible unless his morality, religion and reputation matters him. Each party must study the situation and rely on his own source of information and judgment. However: false statement can be a ground for invalidation of contract where

A/ there is a special relationship between the liar contracting party and the mistaken party. Here the special relation should be a legally recognized relation which creates duty to trust one another. Example of legally recognized special relationship is husband-wife, patient-doctor client-lawyer citizen-government.

B) Such special relationship led the mistaken party to believe the statements of the other party. False statement made by third party to the contract cannot be the cause of invalidation of contract.

Defect in Consent due to Threat (Art.1706-1709)

A person may be threatened physically or psychologically to make an offer or to accept an offer made to him.

Duress (Art.1706 1707); Duress is warning the party that unless he enters into a certain contract certain harm will be done to him. Duress is a cause of invalidation of contract where;

1. **There is a threat or warning to cause harm.** The person must be told expressly that he has to choose either suffering the certain harm or entering into a contract. He should not infer the threat of harm from the behavior or identity of the parties. For example, if three shifta or gangsters come at a home of certain rich man and remained in seat for an hour without giving any instruction to him he cannot claim duress if he writes them a check of 500,000 birr and made them to leave his house.
2. **The harm is on the person himself, spouses or his ascendant or descendants.** The existence of threat cannot be a ground of invalidation of a contract unless it is directed on the party himself or his spouse or his ascendants and descendant. If the threat is on collaterals such as brothers, sisters, it cannot be a cause of invalidation.
3. **The harm is on person, life, property, and honor.**
4. The party believes that the harm will happen if he does not consent to the contract.

¹ For example, if a buyer of Bajaj asks a seller whether or not the fuel consumption of the Bajaj is more that 40 km per liter and the seller remains silent, such may be a false statement.

Whether or not there existed duress depends on the subjective mentality of a party. Therefore; it is enough if the threat is apparent to a party, although there was no real threat. For example the fact that the pistol used to threaten a party was artificial does not matter; it is enough if he believed that the pistol was the true one.

5. **The threat should be serious:** - the threat is said to be serious when the harm to be caused is greater than the obligation that a party enters into. For example, a simple kissing on a lip or slap on a face are not serious harms.
6. The harm is imminent that is the harm is going to happen soon and a party does not have time to think of another option to avoid the happening of the harm except by consenting to the contract.
7. The threat must impress a reasonable person; the law does not expect a citizen to be a hero who has courage to resist any threat or cowardice.

Duress by third Party (Art.1707); Duress may be committed by contracting party or third party to the contract. The right of a party to claim invalidation is absolute i.e. he can claim invalidation no matter who threatened him to enter into a contract. Moreover; the other party cannot raise his unawareness of the duress as a justification to avoid invalidation. Such justification may, however; be a ground to claim damage from a party who got the contract invalidated (Art 1707 (2)). For example, if Letamo went to Sisay's house and pointed a gun at his daughter's front head and said "Ato Sisay make a call to my brother Shumete and offer him the sale of your business for birr 500,000 or else I am going to change your daughter into corpse". Being threatened by the statement Sisay made calls and made an offer to Shumete and Shumete happily accepted the offer. Sisay can claim invalidation of the contract without being required to prove the knowledge of Shumete about the threat. But Shumete may claim damage caused to him due to such invalidation. This is one of the differences between duress and fraud. (See Art 1704(2))

2.3 Objects of Contracts (Art 1711-1718)

2.3.1 Object Defined

Object of a contract is what parties have actually agreed to undertake. It is the obligation of each party to the contract. In case of sale contract of house;

- **Object of K is;** transfer of ownership and possession of the house (by seller) and to pay the price (by buyer)
- **Subject of K;** House

Object of contract differs from penalty causes of contract. Penalty causes provide a remedy or solution if a party fails to carry out his obligation (Art. 1886-1895)

2.3.2 Freedom of Contract

In case of Obligation “to give” or “not to do” Subjectivity of a party to a contract is less matter.²

But in case of obligation to do the personal nature of the person who agrees to do” matter very much on the benefit that the other party derives from the contract. So in case of obligation “to do” parties should determine the criteria of evaluating the quality of the work done (Art 1712 (2)). However; parties may fail to specify all the possible contents of the contract. In such a case parties are presumed to have agreed to benefit from the contract fairly and equitably. So for disputes that are not clearly settled in the contract, court could refer to good faith, equity and custom and law. For example, in a certain case, a College employed Mr. X as a mathematics teacher. Later the college wants to make Mr. X an academic dean. When the instructor refused to take the position the college dismissed him and the instructor instituted court action; the college was defending on the ground that it is customary for instructor to take position in academic administration and won the case.

Generally parties should expressly and clearly define content of contract. On any matter which parties did not expressly agree, they are presumed to have left the matter to be Page | 55 governed by law, custom, equity and good faith.³

Limitations to Freedom of Contract (1711); under Ethiopian law contract is limited by:-

Clarity of objects (1714)

Possibility of object (1715)

Legality of the object (Art 1716(1))

Morality of Object:-

Society has certain standard of conduct generally known as morality. As a means of self-defense the society punishes those who violate morality. Law is the part of morality that is entrusted by the society for its enforcement. The remaining part of morality is to be enforced by the society itself. Even though the

² In case of “not to do” or “to give” whosoever and in whatsoever he performs the contract, the benefit of the other party is the same.

³ So, in order to settle disputes court should first refer to contractual provision and if they are found to be insufficient, then to legal provisions and if still the matter is not resolved, to customs and at the end good faith and equity be applied.

state does not have a duty to enforce such morality it should refrain from indirectly assisting the violation of morality.

The obligation may not be contrary to criminal but it may be contrary to morality. For example, if a man agrees to pay money to get sexual gratification from a woman such contract is not illegal but immoral. So the man or the woman cannot get state assistance to have the contract performed.

Motive (ምክንያት) of the Parties:-

Motives of the parties are irrelevant to determine the legality or morality of the object (Art 1717). Parties are expected to know and [obliged] by the content of their contract only. Moreover; motives are mostly hidden agenda of parties and knowing these motives is very difficult.

Allowing a part to avoid his K obligation by proving the bad motive of another party is therefore, allowing him to interfere in the private life of another contracting party in search of information and evidence necessary to prove such motive. Furthermore; motive is a mental element and everybody has a freedom of thought.

E.g. Saul agreed to lease his houses to Satnael for birr 1200 per month. They agreed that the contract remain effective for 12 months. Saul later on came to know that Satnael has planned to use the house as a head quarter for terrorist activities in East Africa. Saul cannot claim the invalidation of contract. The only option he has is to inform the case to police.

However; if the illegal or immoral motive of a party is understandable from the content of the contract itself such contract may not be enforced although it has nothing to do with the objects of contract.

E.g. “Me, Abebe, agree to lend birr 10,000 for Alebachew. Incidentally I wish him the best in his business so that he may appreciate my effort to assist him. I know that contraband business is a risky business.

Note that; Art 1718 (1) never talks about invalidation. The courts never invalidate a contract even if the illegal or immoral motive is clear from the contract itself. What the court should rather do is to refuse to enforce it. The court should become neutral towards the contract by rejecting both claims for invalidation and enforcements of the contract. Courts refusal to invalidate does have legal effect since there would not be reinstatement so the court never touch what has already been performed and never help the completion of performance (Art. 1815).

2.4. Form of Contracts (Art 1719 – 1730)

It answers the question as to how third parties such as court could know the agreement of parties. Form can be oral or written.

The law gives freedom to the parties to choose either written or oral form. So contract can be valid if consent, object and capacity requirements are fulfilled.

Limitation on Freedom of Form⁴ Art.1719 (2, 3)

The freedom may be limited by law or the offeror.

The reason limitation:-

1. Evidentiary value
2. Recalling content of contract
3. Indication of intention to create legal relation:-

If a contract is made in writing, there remains little doubt that there was no intention to be bound. If a contract is to be made in writing, a party thinks twice before he gives his final consent to be bound. Firstly, the person thinks to give consent and secondly he thinks when he is required to sign the written document. Between the consent and signature, there is a time gap, whatever its length, the person has a chance to thoroughly think and decide to change or affirm his previous decision.

2.4.1. Contracts made in Written Form (Art 1721 – 1726)

A/ contracts required by the law to be made in writing

Contract relating to immovable: - all contracts that affect a right on an immovable except lease must be made in writing. Therefore, sale, usufruct, servitude, mortgage, antichresis partition, compromise and even arbitration agreement concerning house or land should be made in writing.

Antichresis; is a type of security agreement where a debtor gives possession and use of their property (typically real estate, like land or a building) to a creditor so that the creditor can use the property and apply the fruits (profits, rent, produce, etc.) of that property towards the payment of the debt. No interest of the debt is countable.

⁴ Limitation of freedom of form means denying the parties the option to make their contract orally.

Mortgage: While a mortgage also secures a debt with real property, it typically involves the potential for the property to be sold if the borrower defaults. It usually does not involve the creditor using the property. Interest of the debt is countable.

- E.g. If heirs partition an immovable among themselves, such partition agreement must be made in writing.
- E.g. If disputants on an immovable want to refer such dispute to arbitrations, they have to make their agreement in writing (Art 3326).
- Note that lease or rent relating to immovable need not be made in writing.

Contract with public administration (Art 1724): In public administration, officials do not stay in office indefinitely rather they may leave their office by election, removal or resignation. Once they leave their office it is difficult to ascertain the content of the contract entered into during their stay in office. Moreover, oral contract opens a room for corruption since keeping information is difficult.

B/ contracts required to be made in writing by the parties

Even if the law has not expressly provided written form as a mandatory requirement for validity of contract, and if the parties agree to make their contract in writing, then contract will not be completed until such form is fulfilled. No party can require the performance of the contract until it is made in writing. Even if the parties have begun to perform the contract, the court does not help them to have the performance completed unless they comply with their prior agreement to make the contract in writing. This means parties cannot change their prior agreement impliedly by performing the contract. In short express agreements cannot be changed by implied agreement. If the agreement was made in writing its change should also be made in writing (Art. 1722). Similarly express oral agreement should also be changed by another express oral agreement or written agreement.

B. Preliminary contract (Art 1721)

A contract that intends to lead to another contract shall be made in writing if the contract to which it leads is required to be made in writing either by the law or the parties.

- E.g. Promise of sale of a house Art 1412
- E.g.2 agency contract: - If the agent's power is to enter into a contract in writing he should be conferred with such power in writing (Art 2200(1)).

D/ Variation of contract made in writing (Art 1722)

Variation of contract is a contract itself (Art. 1675). The law expressly provides that variation of a contract made in writing shall be made in writing.

N.B The law provides form for creation and variation of a contract but it is silent about form for extinguishing a contract. However, parties shall make the extinguishing contract in special form if the contract to be extinguished was made in special form.

2.4.2. Effects of form (Art. 1720)

When the parties or the law requires the contract to be made in writing, failure to comply with such requirement make the contract a mere draft.

Some contracts need to be registered. Such registration is normally intended to make third parties to be aware of the existence of such contract. Such registration does not have any relationship with form of the contract. Registration can affect the validity of contract only when the law expressly states that failure to register the contract shall make the contract non-existent. For instance; it is expressly provided that mortgage contract and partnership agreement do not produce any legal effect if they are not registered (Art 3052 and art 177(2), Art 222 commercial code).

N.B. when the contract is to be made in writing it will not be binding until the written form is fulfilled. This means, if contract is to be made in written form, offer and acceptance do not have legal effect until the form required is completed. One can withdraw one's consent at any time. However, the person who arbitrarily abandons his offer or acceptance may be extra contractually liable (Art. 2055).

- Written form for Ethiopian contract law means any special document containing content of a contract signed by parties to the contract and at least two witnesses.

2.4.6 Other Special Forms

The best example of such special forms is commercial instruments. Signing or issuing a commercial instrument is concluding a contract.

2.4 Effects of Elements of Contract (Art, 1808-1818)

Contract that misses any of elements of K (consent, object, capacity and form) is either void or voidable.

2.5.1 Difference between void and voidable contracts (Art, 1808-1814)

Void (void ab initio) contract; is a contract which parties intend to produce binding effect but does not actually have any legal effect. The obligation intended by the parties does not exist from the beginning.

Voidable contract; is a contract that has begun to produce effect intended by the parties carrying with itself certain birth defects that may destroy the effect it has produced.

Void contract cannot be cured but **voidable contract** may be cured by agreement of both parties to the contract (Art.1811).

Cause:

1. A contract is said to be void when the object (immoral or unlawful/impossible or unclear) or form element are missed. Or K is void if any of the Art 1711-1729 are violated (Art 1808 (2)).
2. K is voidable due to defect in **consent** or **lack of capacity** (Art.1808 (1))

Who Can Bring The Case To The Attention Of The Court?

- In case of void K; public prosecutor or anybody can bring to the attention of court (1808(2)).
- In case of voidable K only a person whose consent was defective or the person who was lacking capacity at the time of conclusion of the contract can bring the case to the attention of the court (see Art.33 CPC)

Relief Sought

In case of void contract: the person is not intending to have the contract invalidated since there is nothing to be invalidated. Firstly, **void contract is contract that does not exist; something which never exists cannot be destroyed.** Secondly, **the cause that made the contract void cannot disappear unless new laws are issued.** Therefore, he wants either to make sure that the contract is void or wants the court to stop parties from violating the law/moral standard of the society under the guise of performance of contract.

In case of voidable K: the relief sought is to have such contract declared void. Voidable contract produces legal effect unless the party whose consent was vitiated or incapable at the time of conclusion of contract challenges its validity (or alleges its invalidation) (Art. 1808 (1)).

Other contracting party does not have the right to claim the invalidation, however, he has right to know whether or not the other party (who is affected by defect in consent or capacity) intends to claim invalidation (Art. 1814 (1)). If such party fails to respond within reasonable time the contract is deemed to be invalidated. The word **cancelled** under art 1814 (2) should be replaced by **“invalidated”**.

The voidable K will be cured where:-

A. Invalidation is not claimed within two years

A party whose consent was vitiated loses his right to invalidate the contract unless he brings court action within two years from the moment fraud, mistake and the duress disappears (1810(1)).

The right will be absolutely barred if he has been unable to know the fraud, mistake, and duress has not disappear within ten years from date of conclusion of the contract (Art 1845)

- ♥ A contract affected by incapacity need to be invalidated within two year from the date the person became capable.

B. Contract is confirmed:

A person whose consent is vitiated may waive his right to demand invalidation. Such waiver is a contract and has to be made in same form as the main contract (Art 1811(2)).

- C. The injury is made good.** A contract vitiated by lesion remains valid if the party taking undue benefit agrees to return such benefit (Art. 1812).

Lesion; refers to a **significant disparity** between the value given and the value received in a contract. It suggests that one party has suffered a substantial disadvantage or loss due to an imbalance in the exchange.

Contract of Adhesion; is a contract where one party has significantly more bargaining power than the other. The weaker party has little or no ability to negotiate the terms of the contract, and essentially must accept the terms as presented or forgo the transaction altogether. It is as a "take-it-or-leave-it" scenario. E.g. ELPA service in Ethiopian

2.5.2 Similarities between Void and Void able Contracts (Art 1815-1818)

Void contract is devoid of any legal effect by its very nature and violable contract is devoid of legal effect by court decision only.

Like void contract voidable contract is also considered as void abolition once it is invalidated. Invalidation of voidable contract has a retroactive effect.

Reinstatement (Art 1815-1818)⁵

⁵ In this part the teaching book mistakenly provide the reinstatement as a common feature of both void and voidable contract. However the issue of reinstatement can only be raised in case of voidable K. therefore, void K cannot be enforced or reinstated.

A void contract is one that is not legally enforceable from the moment it is created. Because a void contract is considered null from the outset, the issue of reinstatement typically does not arise in the same way it would for a voidable contract.

Reinstatement is made either by returning back the payment (thing) received or by paying appropriate compensation for the thing that cannot be returned. Reinstatement may be made by paying compensation Where;

1. When Ownership of the Thing is transferred to Possessor in Good faith

Whoever obtain possession of corporeal chattel for consideration intending to acquire ownership will become an owner of such chattel if he believed that he bought the chattel from the true owner art 1161. So a person who lost his property on the basis of invalid contract cannot claim it from such good faith possessor (Art 1164, 1167 cum. 1816).

For example, A sold his house in Hawassa to B for birr 350,000 since B provided a fraudulent letter of employment in Addis Ababa, and B sold such house to C. provided that C believe that B is the true owner of the house.

Obligation “to do” or “not to do”

In these types of obligation, reinstating the parties by returning the thing does not work since there is nothing delivered. However a person can definitely lose certain economic advantage if the K is invalidated. In this case reinstatement shall be made by the payment of compensation.

Transformation of the thing

The receiver may substantially change or alter the thing he has received. In such case, returning the thing would involve serious disadvantage or inconvenience (Art. 1817(2)).

E.g. Abebe sold 500 quintals of cement to Shemsedin for birr 100,000, used the cement for construction. If Abebe got the contract invalidated on the ground of defect in consent Shemsedin cannot return the cement. Since it is serious disadvantages to both Abebe and Shemsedin

Returning the thing is uneconomical; if returning the thing is highly expensive, the court should order payment of compensation.⁶

⁶ For example, Mesobo Cement Factory sold 500 tons of cement to Hawassa Apartment P.L.C. The cement was transported from Mekele to Hawassa. Ordering the returning of the cement is uneconomic.

Chapter 3: Effect of Contract (Art. 1731 -1805)

3.1 What Does Effects of Contract Mean? (Art.1731)

The two major principles of contract are freedom of contract and sanctity of contract. Sanctity of contract indicates that parties are bound by their agreement.⁷ Any agreement which parties did not intend to create legally binding obligation is not a contract (Art 1679).

Once a contract fulfills the requirement of Art 1678, it becomes a law. Therefore, since it is a law it is modified (amended) by the **law maker only** (either the **parties to the K** or **the legislature**).

3.2 Interpretation of Contract (Art 1732 -1739)

Since a contract is a law, it may be interpreted. A law is interpreted when it is vague, silent, illogical, ambiguous, and contradictory. Similarly if the provision of the contract is clear, there is no need to interpret (Art 1733). Whenever the provision of the contract is clear court should not depart from clear meaning even if such clear meaning is unfair.

3.2.1 Searching Intention of Parties

A. Presumption of Good Faith

While searching the intention of the parties we have to presume that no party to the contract intends to deceive the other party by intentionally making the provision of the contract vague, ambiguous, silent or contradictory. But interpretation becomes necessary either because parties were not able to imagine the dispute, or words are imprecise by their nature, or errors are committed in formulating contract.

B. How to Search Intention of Parties (Art. 1734-17387)

Having the presumption of good faith in mind, the court uses the following techniques to arrive at the probable common intention of parties at the time of conclusion of the contract.

i. Conduct of the parties

Conduct is one way of communication of consent (1681). So a conduct [before, during or after the conclusion of K] of a person may be taken as a means of ascertaining what he was intending and what the other party understood from such conduct.

ii. Context of the contract

⁷ The Latin term “**pacta sunt servanda**” gentle man is bound by his words

There is a possibility that one provision may indicate the meaning of another provision or word in the contract.

iii. **Business practice**

iv. **Positive interpretation/ constructive interpretation?** Parties are presumed to have entered into a contract expecting certain result.

3.2.2 Interpretation in Favor of Debtor

The main objective of interpretation is searching for the intention of the parties. However, if the court is unable to find the intention, the law guides the court to interpret the controversial provision or word in favor of the debtor (Art 1738(1)). This is in line with the principle under procedural law that **whosoever, claims a right has to prove its existence**. So the creditor has to prove the existence of a claim or else the court presumes that the debtor should not be expected to perform an obligation which the creditor is unable to prove.

Even more; if the contract is gratuitous, court should not impose obligation on the debtor by interpretation.

Exception

An exception to the principle of interpreting in favor of the debtor is **contract of adhesion** (Art. 1738(2)).

♥ **Contract of Adhesion**; is a contract where one party has significantly more bargaining power than the other. The weaker party has little or no ability to negotiate the terms of the contract, and essentially must accept the terms as presented or forgo the transaction altogether.

In case of Adhesion K, the court shall interpret the provisions or words in the adhesive contract **against the party who prepared such contract** (Art. 1738(2)).

A stipulator of such terms of K or offer models or forms is mostly monopoly supplier or big companies that greatly influence the bargaining process. Most probably the other party did not have an alternative except entering (adhering) to the stipulation. So interpreting such contract against the stipulator even when he is a debtor has customer protection in mind.

3.3 Performances of Contracts (Art. 1740-1762)

Performance of contract means fulfilling one's own obligation **as agreed** (exactly in the same way as provided without any variation).

3.3.1 Who Performs Contract (Art. 1740)

The contract can be performed by the debtor, his agent or by **person authorized by court** (curator or an *interested creditor*⁸) or **law** (tutors, liquidators, trustees)

What about performance of a contract by a third party not authorized by debtor, court or law?

The debtor has no right to stop third party from performing the obligation since the creditor has a right to assign his right to a third party without the consent of a debtor (Art. 1962).⁹

The creditor can demand that the debtor himself should perform the obligation where;

1. The contract or law expressly provides that the debtor shall perform the contract personally
2. The creditor proves that personal performance is essential to him (Art. 1740(1)).

3.3.2 Who May Receive Payment (Art. 1741-1744?)

Payment should normally be made to the creditor or his agent (Art. 1741). However; payment may be made to a tutor, liquidator, or trusted (Art. 1741).

1. Payment to Incapables (Art.1742)

If the creditor is a minor or judicially interdicted person, payment should not be made to such creditor. E.g. Abebe, a minor, bought bicycle for birr 1500 from Beshadu. Beshadu shall not deliver the bicycle to Abebe. She should rather deliver it to his tutor.

2. Payment to Unqualified Creditor (Art.1743)

In principle, payment to unqualified person is invalid. Such payment is valid where;

a) Payment benefited the real creditor

The creditor is benefited when the debtor pays the debt of the creditor. E.g. Challa borrowed 50,000 birr from Legese. Legese bought a car from Balew for birr 505,000. If Challa pays to Balew thereby releasing Legese from paying sale price, the payment will benefit Legese.

- ✿ Note that such payment may be paid either without the knowledge of creditor or even against his express opposition.

b) Payment confirmed

⁸ Interested creditor who wants to save the rights of the debtor by performing his obligation

⁹ However, a creditor is not duty bound to receive payment from a person not authorized by debtor or court or law, he is free to accept or reject such payment without any effect on his right against the debtor.

Even if the creditor did not benefit from the payment, he may confirm the payment. E.g. a debtor paid the debt to a daughter of a creditor who used the money for enjoying herself in big hotels. A father creditor may confirm such payment.

c) Payment to a person with a valid title

Here the holder of the title is legally entitled to claim payment although he is not the real creditor. The payment made to an apparent creditor (holder of the title) is valid even if the document is invalidated later on.

- i. Certificate of heir annulled after payment is made (Art-1996-1998) E.g. Abebe applied to court and got a certificate of heir. Abebe collected money deposited by the name of the deceased in a bank (Art. 947). But later on a son of deceased applied and got Abebe's certificate of heir annulled. The son does not have any claim against the bank since the bank paid to a person holding valid title at the time of payment.
- ii. Holder of Negotiable Instruments. A debtor who paid to a holder of negotiable instrument in accordance of the rules of transfer of negotiable instrument is released from his obligation. E.g. Bilisuma issued a check to Gebru and thief stolen the check from Gebru's pocket and received payment from Dashen Bank. Bilisuma is released by such payment.

Note that the debtor is Liable even if he paid for apparent creditor, where:-

1. The debtor knows that he is paying to apparent creditor.
2. If the real creditor warns the debtor to forbear from paying the debt if he pays against such warning.

Doubt as to the Creditor (Art.1744)

Sometimes two or more persons may independently claim the payment of a debt. Especial where the original creditor dies and heirs and creditors are claiming payment. The debtor is not a court and cannot settle such dispute; hence, he shall refuse to pay to any of them. He shall deposit the debt in court as per Art. 290 – 293 CPC (Art. 1744 (1) to release himself from obligation.

3.3.3 What to Perform (Art. 1745 – 1751)

1. Definite Thing (Art. 1745 – 1746)

In K law definite thing means a thing which is a subject of sale and indicated in the contract in its own specific name. E.g. if the sale is white teff the thing is definite in relative to the generic term teff, but white gojjam teff is more definite.

The debtor shall deliver the thing agreed (Art. 1745). The creditor may however, accept things of different identity if he wants.

E.g.1 Abel agreed to sell Adaa teff to Gebru. But since Abel is unable to get Adaa teff he supplied Menjar teff of the same quality. Gebru can refuse the delivery.

2. Fungible Goods (Art. 1747–1748)

Fungible goods are goods that are indicated in the contract by using generic terms such as pasta, teff, wheat, barely. In such case since the thing is not expressly indicated in the K, the K is interpreted in favor of the debtor (Art. 1738 (1) and the debtor can freely determine its quality (Art. 1747).

Delivery of insufficient quantity or quality (when the quality was already agreed up on) does not necessarily lead to the cancellation of the contract unless it is declared to be fundamental breach of contract (or essential to the creditor) (Art. 1748 (1) cum. 1785 (2)).

3. Money Debts (Art. 1749–1751)

If the debt is money debt, payment should be made in local currency of place of payment (Art. 1749 (1)). I.e. if the place of payment is in USA, payment should be made in US Dollar. Because the debtor may not be able to get the foreign currency in the place of performance, E.g. in Ethiopia only importers are allowed to purchase foreign currency in the market.

- ♥ **What about the exchange rate?** For example, if contract provides that the debtor pays birr 200,000 on April 29 in USA, the birr should be converted into Dollar. The question is “how much dollar is birr 200,000”. This is determined on the basis of exchange rate on the day of payment (Art 1750).
- ♥ **Note that** parties may agree that payment shall be made in actual currency indicated on the contract (Art.1750).

Incidental to money debt are inflation of currency and interest rate. Parties may avoid inflation by determining the amount of money debt in reference to the price of a specified good. For example, a person who lends birr 200,000 to be repaid after ten years may say that the amount to be repaid shall be able to buy 50 tons of first quality Addaa teff.

3.3.4 Appropriation of payment (Art. 1752-1754)

1. Principal Debts and its accessories (Art 1752)

If a person is unable to pay the whole debt (principal, interest and cost) at one time, the part payment made by the debtor shall be appropriated firstly to the cost; secondly to the interest; and finally to the principal (Art. 1752). The effect is that the interest continues to count on the principal.

2. Multiple principal Debts (Art. 1753-1754)

- ♥ **Choice by the parties (Art.1753)** unless the parties agree that choice should be made by the creditor, the law presumes that the right to choose is for the debtor (Art 1753 (1)).¹⁰

Where the debtor does not specify the appropriation of a payment such payment shall be appropriated to the debt specified by the creditor in the receipt (ቢዲረሰኙ) unless the debtor forthwith objects to such appropriation. Art 1753 (2)¹¹

- ♥ **Choice by the law (Art. 1754) When both the debtor and creditor fail to indicate the appropriation the law presumes:-**
- ♥ As between debts due or debts which shall become due on the same day, the payment shall be appropriated to the debt which is to the greatest advantage to the debtor to pay. Art 1754 (2)

For example the loan of 500,000 which imposes 12% interest rate and which was due on Jan 2, 2008 and sale price without penalty any payment made by the debtor shall be appropriated to the loan. (See also Art. 1754(3).)

- **Debts due vs. future debts:** - Appropriation shall be made to the debt which is already due (Art. 1754(1))
- **Future debts Vs future debts:** - appropriation is to the debt which becomes due earlier (Art.1754 (1))
- **Future debts having the same due date:** to the debt which first appropriation benefits the debtor most (Art. 1754(2) but if the advantages are equal payment shall be appropriated proportionally (Art. 1754(3)).

¹⁰ This is in accordance with the principle of interpretation in favor of the debtor.

¹¹ Objection is not enough, he should indicate his preference, and otherwise the creditor could still continue to choose among the remaining debts.

3.3.5. Place of Performance

The CC provides three alternatives; agreed place, residence of the debtor and place where the thing situates. The law encourages the parties to determine place of performance in their contract. But if they fail to mention place of performance the law then resorts to search the possible intention of the parties (implied agreement of the parties). By so doing it reached at the conclusion that in case of definite thing the parties should be presumed to have agreed to perform the contract at the place where such ***definite thing situate at the time of conclusion of contract.***

The law employs the old maxim “***debt is not portable but fetchable***” i.e. the creditor has to go to either to the place where the definite thing situate or to the residence of the debtor.

The place where a thing situate at the time of conclusion of contract and at the time of performance of a contract may be different i.e. the thing might have been shifted from the place where it was at time of formation of contract.

In this case rule of interpretation in favor of the debtor employed; **therefore delivery of fungible things should be made at the residence of the debtor** (Art.1755 (2)). By so doing the law exempts the debtor from transportation cost, inconveniences and waste of working hours (Art.1755 (2)). However; the debtor may have more than one residence. In such case the place of performance is the principal/Normal residence. (Art 1755(2))

3.3.6. Time of Performance

Time of performance is very important to determine transfer of risk, cost of maintenance and preservation (Art.1779-1783) In case of transfer of ownership by sales and donation and to claim damage for non-performance.

Performance should be made at agreed time (Art.1756 (1)). where there is no contractually agreed time, contract should be performed when either the debtor Art.1756 (2) or the creditor demand performance (Art.1756 (3)). This means, once the contract is concluded, time of performance can be determined either by the debtor or creditor. If both of them determine date of performance the earliest date is performance date. The debtor demands earliest performance either to avoid cost of maintenance and preservation or to transfer risk or to relieve himself from psychological burden of debt. The creditor must take delivery forthwith the time he is informed to take delivery otherwise the debtor can deposit the debt at the risk and expense of the creditor in public warehouse or any other place named by the court. Art 1779

Time of performance is determined either by contract or unilaterally by any party to the contract and the mere failure to indicate time of performance never makes the contract incomplete.

In the following four cases the debtor may unilaterally postpone time of performance indefinitely (Art.1757 cum.1759)

1. Simultaneous Performance

Simultaneous performance of a contract refers to a situation where the parties to a contract are required to perform their respective obligations at the same time. This means that each party's duty to perform is contingent upon the other party's performance. Imagine a situation where Alice wants to sell her car to Bob for \$10,000. They agree that Bob will pay Alice the money at the same time Alice hands over the car keys and the title of the car. If Bob refuses to pay or does not have the money, Alice is not obligated to give him the car.

However, if time of performance of both sides of the obligation is contractually determined, there is no concept of simultaneous performance; both sides of the obligation should be performed on the date fixed by the contract (Art.1757 (1)).

2. Anticipatory Breach of Contract

It is when the debtor indicates the creditor (either through their words or) before the debt is due that he (debtor) will not perform his obligation (Art.1757 (2)). This type of breach allows the non-breaching party to take certain actions before the actual breach occurs.¹²

Note that: - Anticipatory breach under Art 1757(2) is invoked when time of performance of both sides of the obligation has already determined by contract and the party claiming anticipatory is duty bound to perform his obligation earlier than the party who has intended to breach the contract.

However, ***the impliedly breaching party*** has an option to claim performance by providing sufficient security that he will perform his obligation (Art.1759).

3. Insolvency

When a person is declared bankrupt, all his future debts mature on the day he is declared bankrupt (Art.1868). So, he has to pay all his future debts on the date he is declared bankrupt. Thus, a person

¹² For example, if A and B entered into construction contract whereby A agreed to construct B's G +3 residential house in Awassa and B agreed to pay 25% of the total construction price one month before the construction starts. They agreed that the construction had to start on August 12, 2008. A won a big construction project in Mizan on July 12, 2008 and went there to start the work that takes a minimum of four years. Here A, by his conduct shown his intention not to start construction of B's residential house. So B is entitled not to make any advance payment.

declared bankrupt cannot claim performance unless he himself is ready to perform his obligation (Art. 1757(2)).

4. Breach

a party who violated his own contractual obligation does not have moral and legal basis to complain for breach of contract since the other party can have a counter claim or set-off (Art. 1757(1)).

3.3.7. Transfer of Risk

Transfer of risk is an issue only in contracts that involve transfer of ownership. It is not a common characteristic of all contracts. The relevant law to discuss transfer of risk is law of sales.

3.3.8 Cost of Payment (Art. 1760)

Art. 1760 applies when the court is unable to ascertain a party that should bear the cost of payment by reference to their contract or custom, equity and good faith as indicated under Art 1713.

Costs of payment are e.g. those of counting, measuring, weighing, packing etc. also comprises the amount of any stamp duty on it, and the cost of the deed and its registration to be reimbursed by the debtor.

3.3.9 Debtor' Right to Receipt (Art. 1761-1762)

Whenever required, the debtor has a duty to prove that he has properly discharged his obligation (Art. 2001 (2)) by obtaining written evidence from the creditor (Art. 2002). Receipt is, therefore; such written evidence given by the creditor to the debtor. The debtor has a right to claim receipt and a creditor has an obligation to give receipt.

In addition to claim receipt the debtor has also the right to claim the cancellation or return of documents evidencing the obligation, provided he has fully discharged his obligation (Art. 1762).

3.4 Variations of Contracts

Variation is making amendments to the provisions of a contract. Variation of Contract is equivalent to amendment of law. Variation makes change on the object of the contract. Variation normally becomes necessary because of fundamental changes in circumstance that the parties or the legislator does not want to tolerate. Contract may be varied by the parties, legislator and judiciary.

Since a contract is a law the legislator may also vary its contents either by a law issued prior to the conclusion of such contract¹³ or by a law that is issued to modify certain already concluded contracts.¹⁴

¹³ Forces the creditor to accept insufficient quantity or quality

The judiciary does not have inherent authority to amend a law Art 1763-1765. However; the legislator may also expressly delegate its authority to the judiciary. While delegating its power, the legislator should indicate the limit of the delegation and guidelines to exercise such delegation Art.1766-1770 Inherent power to modify the contract belongs to the parties themselves or the legislator.

3.4.1 Judicial Variation of Contract

The court is normally delegated such power when fundamental change in circumstance affects the object of the contract (Art.1766-1770). However; court may also vary a contract where there is undue influence or lesion that never leads to invalidation of the contract

➤ Contract between persons having Special Relation

Special relationship must refer to relations that are recognized by the law such as spouses, relation by consanguinity and affinity, employer-employee, subordinate, lawyer-client, doctor-patient and agent principal. However, it may be argued that Art. 1766 should in practice be limited to family relation only since it is only in family relation that parties do not want to think seriously about the obligation they enter into. Family members normally live by financially supporting each other particularly in countries like Ethiopia. In short Art. 1766 applies when one side of the obligation become onerous than he foresaw due to change in circumstances.

➤ Contract with public administration

A government has legislative and policy making power that may enable it to change the balance of contract in its own favor. Since the government has greater role to manipulate the market. Therefore, the government has to either refrain from taking measure that make the obligation of debtor more onerous or must cover the costs of its measure on the debtor.

E.g1 Aba Dagnew Construction P.L.C. entered into a construction contract with Ethiopian Road Authority to construct 180 km asphalt road for birr 360, 000,000(three hundred sixty million). At the time the contract was concluded asphalt used to be imported custom duty free but few months after twenty five percent custom duty taxes was imposed.

Such new policy or new law should not have been foreseen at the time of conclusion of contract.¹⁵

¹⁴ He foreclosure law issued in Ethiopia in 1998; As per that law any pledged or mortgaged property can be sold by the pledge or mortgagee bank and this law was to apply on all contracts including on those made before the issuance of the law.

¹⁵ Fuel price revision in Ethiopia, for example, is something expected after every three months.

➤ **Partial Impossibility of Performance**

Court may require the creditor to receive possible part and make proportionate payment. If impossibility occurs after the conclusion of contract (Art.1768) and if such impossibility never leads to breach of fundamental provisions of the contract as indicated under Art 1785

➤ **Time of Performance**

Court may also extend time of performance for a maximum period of six month (Art.1770). This extension has to be given when contract does not exclude the court from giving grace period. Moreover; the court must make sure that such extension of time causes little influence on the creditor and such influence is financial compensable. The court must also make sure that there is high possibility that the debtor will perform his obligation within grace period.

CHAPTER 4: Non-Performance of Contract & Its Remedies

Article 1731 (1), a contract formed lawfully binds the parties as if it were law, which means that the parties shall perform (discharge) their obligations according to their contract and the law. Non-performance refers to parties' failure to perform contractual obligations in conformity with the terms of the contract and the law.

This failure may be total, where a party totally fails to honor the terms of contract, partial, where a party has performed his/her obligations only partly. It may also relate to delay in performance.

Offering performance at a place other than the place agreed up on (place fixed by law), Delivering a thing that does not conform to the K constitute non-performance.

♥ *Generally any deviation by a party from the terms of the contract amounts to non-performance.*

4.3 General remedies of non-performance under Ethiopian law

The remedies are supposed to put the victim party in the position he would have been had the contract been performed. The law of contract generally recognizes three remedies. Article 1771

1. The enforcement of the contract:

It may be done either by **Compelling the Debtor** (failing party) to perform his/her obligations (called *forced performance*) or by **Authorizing the Creditor** (victim) party to perform the debtor's obligation at the cost and expense of the debtor (called *substituted performance*)

2. Cancellation of the Contract

This may take place either by court judgment (judicial cancellation) or unilateral act of the victim party. *Unilateral cancellation applies in exceptional circumstances.* In all other cases, the victim party may apply to court for declaration of cancellation and it is the court that has the ultimate power to declare cancellation or not. The effect of cancellation is to put the parties to the position which would have existed, had the contract not been made. Thus, the Victim party can claim back what he has paid or delivered. In addition to this, he may claim compensation.

3. Damages (Compensation)

The victim party can claim compensation for the damage or loss he has incurred as a result of non-performance. Compensation may be claimed independently or in addition to either of the above remedies

or independently. In applying any of or a combination of these remedies, one should take in to account not only the interest of the creditor (victim party) but also that of the debtor (failing party)

Before going to court victim party shall give default notice to the debtor, demanding the later to perform his/her obligations (voluntary performance) within a reasonable time. Article 1772

Giving DN It has a number of functions including that of reminding the debtor and reducing litigation. Very important questions in this respect are:-

A. When should default notice be given and in what manner?

Art. 1773. – Form and time of notice

- 1) Notice shall be by written demand or by any other act denoting the creditor's intention to obtain performance of the contract.
- 2) Notice may not be given unless the obligation is due.

There is no formal requirement for default notice & it may be given in any form: in writing, orally or clear conduct.

B. How much time should the victim (creditor) give to the debtor to perform his obligations?

- 1) The creditor may in the notice fix a period of time after the expiry of which he will not accept performance of the contract.
- 2) Such period shall be *reasonable having regard to the nature and circumstances of the case*¹⁶. Art 1774

There are exceptional circumstances where the creditor can resort to the remedies without giving default notice to his debtor.

Article 1775; Notice when unnecessary

- 1) The obligation is to refrain from certain acts

In this case, a non-performance result from the debtor's doing of the prohibited act. Since, such the non-performance cannot be reversed /rectified by notice; the giving of default notice serves no purpose, and thus becomes useless.

¹⁶ E.g. Such circumstance, in the case obligation of delivery, may include whether the thing to be delivered is in the hands of the debtor or whether it is to be manufactured in the future and the time needed for its manufacture.

- 2) The debtor assumed to perform an obligation which the contract allows to be performed only within a fixed period of time and such period has expired; or

Here due to the nature obligation time may be the most essential element of the contract. It may be inferred from the contract that any performance after the expiry the time fixed is useless for the creditor. Assume, you have ordered cakes and drinks for the celebration of your birthday, and the debtor has promised that he /she will deliver them on time for the celebration. Here time is crucial. The contract does not allow late performance.

- 3) The debtor has declared in writing that he would not perform his obligation; or

The debtor's oral refusal to perform does not relieve the creditor of his obligations to give default notice. It is only when the refusal is communicated in writing that the creditor be relieved of the pre-requisite of default notice.

- 4) It is agreed in the contract that notice shall not be required and the debtor shall be in default upon the expiry of the time fixed.

This is a recognition and implementation of freedom of contract; the parties are free to disregard/exclude the provisions of article 1772

4.3.1 Enforcement of Contract

Enforcement takes place through court order. Its purpose is to allow the creditor the benefit he expects from performance of the contract. It may take place either through Forced performance or substituted performance.

1. Forced performance or Specific performance

Means compelling of the debtor to discharge his obligation; Specific performance of a contract shall not be ordered unless it is of special interest to the party requiring it and the contract can be enforced without affecting the personal liberty of the debtor. Art 1776

Pursuant to this provision the requirements for the application of forced performance are (1) the creditor's special interest, and (2) the preservation of the debtor's personal liberty. These requirements are cumulative not alternative.

The first thing that the court shall determine is whether performance is „of special interest to the creditor. The presence of special interest can be inferred form the importance of the obligation required to be discharged towards the creditor and its possibility of being discharged otherwise.

Then, the court shall consider whether forced performance affects the personal liberty of the debtor.¹⁷

2. Substituted performance

Art. 1777. –Obligation to do or not to do.

- 1) The creditor may be authorized to do or **to cause** (በሌላ ሰው እንድሰራ ማድረግ) to be done at the debtor's expense the acts which the debtor assumed to do.
- 2) The creditor may be authorized to destroy or **to cause** to be destroyed at the debtor's expense the things done in violation of the debtor's obligation to refrain from doing such things.

Court authorization is, however, indispensable for substituted performance. Without such authorization, the creditor cannot recover the costs and expenses from the debtor.

Art 1778, where fungible things are due, the creditor may be authorized by the court to buy at the debtor's expense the things which the debtor assumed to deliver.¹⁸

4.3.2 Cancellation

Cancellation brings an already existing contract to an end.¹⁹ Cancellation may take two forms, judicial (in principle) or unilateral (exceptionally by the party affected by non-performance).

A) Judicial Cancellation

A party may move the court to cancel the contract where the other party has not or not fully and adequately performed his obligations within the agreed period of time. 1784

Not all non-performances will lead to cancellation. The court is particularly prohibited from declaring the cancellation of the contract where **the breach is not fundamental**.²⁰ The party requiring cancellation shall establish that his interest is substantially affected by the failure of performance. The burden of proof rests on the party who requires cancellation. Art 1785

¹⁷ An artist who has agreed to present his songs on a certain concert in consideration of payment fails to discharge at the agreed time. The contract is entered in to in consideration of his talents and that his performance of the obligation is of special interest to the creditor. However, to order the artist to sing without his will amounts to deprivation of his liberty. Thus, forced performance cannot be ordered.

¹⁸ If Mr. A fail to perform his obligation of delivering 500 quintal of sugar in due time, the creditor may buy the agreed amount of sugar from the market upon court authorization. The increased cost due to non-performance of the first contract of the sugar would then be covered by the debtor if any.

¹⁹ **What is the difference between invalidation and cancellation**

²⁰ Minor deviations from the terms of the contract may not be sufficient to cancel the contract.

B) Unilateral cancellation; There are four circumstances where unilateral cancellation can be invoked:-

1. A party may cancel the contract where a provision to this effect has been made in the contract and the conditions for enforcing such provision are present. Art 1786
2. A party may cancel the contract where the other party has failed to perform his obligations within the period fixed in accordance with Art 1770 (period of grace), 1774 (period fixed in the default notice), or 1775 (b) (obligations that must be performed within the time fixed). Art 1787
3. Where performance becomes impossible, Art 1788

Performance was possible at the time of the making of the contract but which becomes impossible afterwards. This is usually referred to as intervening impossibility, and different from that found under article 1715. The impossibility under article 1715 affects the validity of the contract and its remedy is invalidation.

4. In case of anticipatory breach of contract. Article 1789

4.3.4 Damages (Compensation)

Damages/Compensation is another remedy for a party affected by non-performance. The purpose of compensation for non-performance is to put the victim party in a position he would have been had the contract been performed. Damage can be claimed as alternative to enforcement and cancellation or additional to them. Art 1790/1.

A party is entitled to compensation only if he /she have incurred loss or damage as a result of non-performance.²¹

Basically two defenses are available for the party required to pay compensation

1. The first defense is the absence of fault.

As a general rule, the absence of fault is no defense to the claim of compensation, see 1791 (1)). However, there are certain exceptions We find them under articles 1795 and 1796 where in the plaintiff has to prove fault or grave fault on the part of the debtor. This implies that if the plaintiff fails to prove that the debtor has committed fault or grave fault, as the case may be, he will not succeed in claiming compensation.

2. The other defense for the debtor is force majeure.

²¹ Remember that if **No Loss, No Compensation**

Art 1791 (2) states that [the debtor] shall not be released unless he can show that performance was prevented by force majeure.

Once, the liability of the debtor for damage is determined, the next question is to assess the amount of compensation (damages) to be paid to the creditor according to the rules of Articles 1799-1805.

The Ende!

Abdulfetah Bushura.